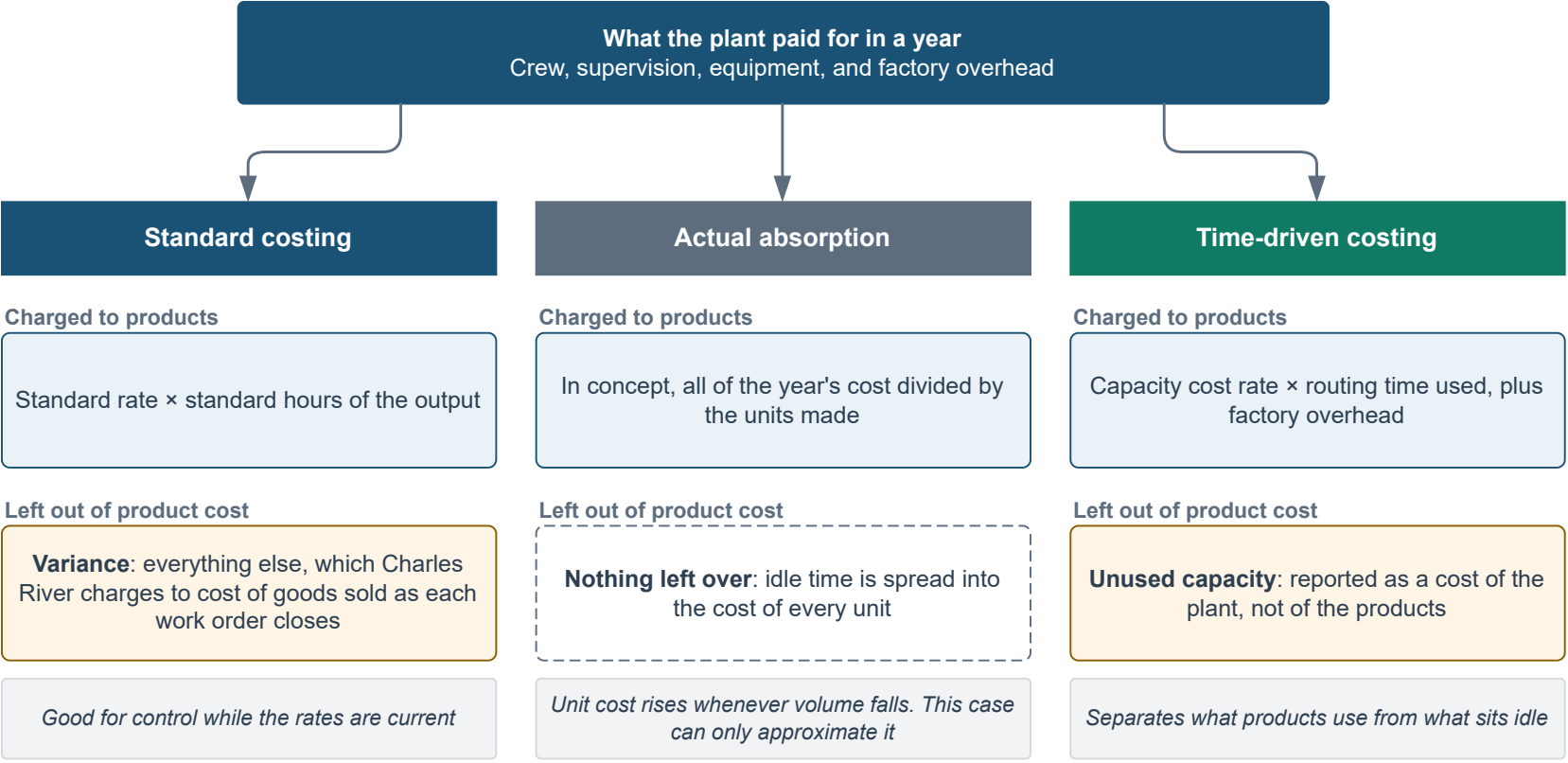

What the plant paid for in a year
Crew, supervision, equipment, and factory overhead
Standard costing
Actual absorption
Time-driven costing
Charged to products
Standard rate × standard hours of the output
Charged to products
In concept, all of the year's cost divided by the units made
Charged to products
Capacity cost rate × routing time used, plus factory overhead
Left out of product cost
Variance: everything else, which Charles River charges to cost of goods sold as each work order closes
Left out of product cost
Nothing left over: idle time is spread into the cost of every unit
Left out of product cost
Unused capacity: reported as a cost of the plant, not of the products
Good for control while the rates are current
Unit cost rises whenever volume falls. This case can only approximate it
Separates what products use from what sits idle